TRIAGE

SYSTEMIC RADAR · 23 OCT 2026

Where the next dislocation is

Bank CRE concentration, private-credit redemption queues, the CRE maturity wall, insurer exposure and fund-overlap cascades, ranked by the odds of a $10bn+ dislocation.

Banks screened	Fund series	Unmet BDC demand	Facts verified
4,296	13,937	$8.5bn	17/17

01 The answer

The most likely $10bn+ dislocation is in private-credit liquidity, not in a single credit. Seven large non-traded BDCs promise quarterly liquidity of about 5% of shares. In their latest completed rounds, holders asked for **$13.8bn** and **$8.5bn went unmet**. That is a single quarter at six funds; the queue rolls forward because unfilled requests are resubmitted.

The second-ranked thesis is the **CRE maturity wall into office**. CMBS delinquency is 8.02%, the highest since November 2020 [SR01], office is 12.16% [SR02], and office values are 33% below peak [SR03], against $875bn of 2026 and $652bn of 2027 commercial-mortgage maturities [SR05].

The two are linked. Insurers hold ~$1.2tn of private credit [SR07]. Banks lend to the funds and to CRE: 449 banks run CRE above 300% of capital.

Ranking (judgement, not forecasts):

#	THESIS	SIZE	PROBABILITY (JUDGEMENT)	WHO IS POSITIONED TO BUY (JUDGEMENT)
1	Private-credit liquidity mismatch (non-traded BDCs)	$8–15bn of unmet redemption demand per quarter (judgement range)	High (60–75%, judgement) that queues persist into 2027	Secondaries and NAV-loan providers; listed BDCs and insurers' asset managers buying loan portfolios at discount (judgement)
2	CRE maturity wall into office (CMBS + banks)	$652bn total CRE maturities in 2027 [SR05]; office −33% from peak [SR03]	High (55–70%, judgement) of $10bn+ office loss realisation in 2026–27	B-piece/special-servicer platforms already holding control (Rialto, LNR, KKR RE Credit, Eightfold, 400 Capital per our 10-D parse); opportunistic RE funds (judgement)
3	CRE-concentrated community and regional banks	449 banks above 300% CRE/capital, $1,067bn of assets	Medium (30–45%, judgement) of a cluster of failures or forced loan sales above $10bn	Loan-sale buyers with bank-quality underwriting; larger regionals in FDIC-assisted deals (judgement)
4	Insurer private-credit and Schedule BA concentration	$1.2tn private-credit exposure [SR07]; $637.9bn Schedule BA [SR08]	Low-medium (15–25%, judgement) of a $10bn+ forced-sale event within 18 months	Reinsurers and sidecars; multi-strategy credit funds (judgement)
5	Fund-overlap cascades in stressed issuers (EchoStar/DISH complex)	~$4bn of DISH DBS + Hughes debt held across 300+ registered funds (N-PORT, NAV-weighted)	Medium for idiosyncratic $1–5bn moves; low for $10bn+ (judgement)	Event-driven and distressed funds with no ratings constraint (judgement)

What argues against a near-term systemic break (counter-evidence, from the same data): - **High-yield spreads are tight** at 3.27% OAS (2026-10-21). - **Banks are easing, not tightening, CRE standards.** SLOOS net tightening is NFNR -11.3 and multifamily -5.7. - **Bank CRE credit is still benign.** The delinquency rate is 1.53% and the charge-off rate 0.14%. - **Prices are up.** Green Street all-property values are +4.7% year on year [SR04]. - **Defaults are expected to fall.** Moody's projects lower default rates by December [SR12].

The dislocations ranked here are therefore **liquidity and refinancing events in specific pools of capital**, not a broad credit crisis (judgement).

02 Thesis detail: evidence, trigger, buyers

1. PRIVATE-CREDIT LIQUIDITY MISMATCH (NON-TRADED BDCS)

FIELD	DETAIL
Size	$8–15bn of unmet redemption demand per quarter (judgement range)
Probability (judgement)	High (60–75%, judgement) that queues persist into 2027
Evidence	Latest rounds at 6 large non-traded BDCs: $13.8bn requested, $8.5bn unmet. BCRED requests 20.9m → 191.8m shares in six quarters. OCIC Q3: $3.1bn = 16.8% of shares [SR13]. Fitch industry average 9.8% vs 5% cap [SR17]
Trigger to watch	Q4 tender windows (Nov–Dec 2026); any fund raising the cap or selling loan portfolios to meet it
Best positioned to buy (judgement)	Secondaries and NAV-loan providers; listed BDCs and insurers' asset managers buying loan portfolios at discount (judgement)

2. CRE MATURITY WALL INTO OFFICE (CMBS + BANKS)

FIELD	DETAIL
Size	$652bn total CRE maturities in 2027 [SR05]; office −33% from peak [SR03]
Probability (judgement)	High (55–70%, judgement) of $10bn+ office loss realisation in 2026–27
Evidence	CMBS delinquency 8.02%, highest since Nov 2020 [SR01]; office 12.16% [SR02]. In our 101-trust sample, office is the largest 2027–28 maturity bucket. MBA: $200bn of CMBS/CLO-held mortgages mature in 2026 [SR06]
Trigger to watch	Non-performing matured balloons (68% of new Sep delinquencies per Trepp); appraisal reductions shifting directing-holder control
Best positioned to buy (judgement)	B-piece/special-servicer platforms already holding control (Rialto, LNR, KKR RE Credit, Eightfold, 400 Capital per our 10-D parse); opportunistic RE funds (judgement)

3. CRE-CONCENTRATED COMMUNITY AND REGIONAL BANKS

FIELD	DETAIL
Size	449 banks above 300% CRE/capital, $1,067bn of assets
Probability (judgement)	Medium (30–45%, judgement) of a cluster of failures or forced loan sales above $10bn
Evidence	Unrealised securities losses $-327bn vs $2,332bn tier-1 capital (all banks); brokered deposits $1,228bn. High-CRE count down from 493 a year ago (de-risking under way)
Trigger to watch	Office loan maturities at banks ($396bn of depository-held mortgages mature in 2026 per MBA); deposit repricing
Best positioned to buy (judgement)	Loan-sale buyers with bank-quality underwriting; larger regionals in FDIC-assisted deals (judgement)

4. INSURER PRIVATE-CREDIT AND SCHEDULE BA CONCENTRATION

FIELD	DETAIL
Size	$1.2tn private-credit exposure [SR07]; $637.9bn Schedule BA [SR08]
Probability (judgement)	Low-medium (15–25%, judgement) of a $10bn+ forced-sale event within 18 months
Evidence	Exposure grows faster than invested assets. Insurers also hold ~$32bn in private BDC/credit funds, so rank 1 transmits here. AM Best recorded no rated-insurer impairments in 2025
Trigger to watch	Rating-agency or NAIC capital-charge changes; a private-letter-rating downgrade cycle
Best positioned to buy (judgement)	Reinsurers and sidecars; multi-strategy credit funds (judgement)

5. FUND-OVERLAP CASCADES IN STRESSED ISSUERS (ECHOSTAR/DISH COMPLEX)

FIELD	DETAIL
Size	~$4bn of DISH DBS + Hughes debt held across 300+ registered funds (N-PORT, NAV-weighted)
Probability (judgement)	Medium for idiosyncratic $1–5bn moves; low for $10bn+ (judgement)
Evidence	N-PORT 2026Q3: Hughes notes held by 46 funds ($616m), DISH DBS by 293 funds ($3.4bn). In private credit, five BDCs share PetVet at marks from −13.9 to 88
Trigger to watch	Downgrades forcing ratings-constrained and index funds to sell together
Best positioned to buy (judgement)	Event-driven and distressed funds with no ratings constraint (judgement)

03 Datasets ingested (row counts)

DATASET	ROWS	SOURCE
FDIC call reports, all insured banks, 30 Jun 2026	4,313	https://api.fdic.gov/banks/financials?filters=REPDTE:20260630
FDIC call reports, all insured banks, 30 Jun 2025	4,494	https://api.fdic.gov/banks/financials?filters=REPDTE:20250630
FRED / Fed H.8, SLOOS, delinquency and spread series (12 series, observations)	8,881	https://fred.stlouisfed.org/
N-PORT 2026Q3, all holdings rows (raw)	5,627,083	https://www.sec.gov/files/dera/data/form-n-port-data-sets/2026q3_nport.zip
N-PORT 2026Q3, fund series (latest filing each)	13,937	https://www.sec.gov/files/dera/data/form-n-port-data-sets/2026q3_nport.zip
BDC Schedule of Investments marks, all quarters (40 BDCs at 30 Jun 2026)	71,668	https://www.sec.gov/
Non-traded BDC tender results, SC TO-I/A final amendments (6 funds + OCIC)	38	https://www.sec.gov/
CMBS ABS-EE loan tapes (sample universe)	6,580	https://www.sec.gov/
CMBS 10-D directing holders	102	https://www.sec.gov/
Form ADV private funds (Schedule D 7.B.1)	71,847	https://www.sec.gov/foia-services/frequently-requested-documents/form-adv-data
13F holdings (EchoStar complex, 2026Q2)	4,420	https://www.sec.gov/

Headline-only sources (no public bulk file, or bulk not feasible here) are listed in section 9 with what was and was not obtained.

04 Thesis 1: the private-credit liquidity mismatch

The rows below come from the latest final tender results filed on EDGAR under Rule 13e-4(c)(4). - **Values in USD:** NAV per share comes from the filing, or is derived as accepted NAV ÷ accepted shares. - **OCIC Q2:** from its 24 Jul 2026 amendment (three share classes); the dollar amounts are approximate. - **Not additive across quarters:** unfilled requests are typically resubmitted, so adding quarters double-counts.

FUND	OFFER EXPIRED	REQUESTED (MSH)	ACCEPTED (MSH)	FILL	REQUESTED $M	UNMET $M	SOURCE
OCIC	June 30, 2026	395.4	105.2	26.6%	3,600	2,645	https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0001812554&type=SC+TO-I
BCRED	May 29, 2026	191.8	93.1	48.5%	4,536	2,334	https://www.sec.gov/Archives/edgar/data/1803498/000121390026084924/ea0300287-01_sctoia.htm

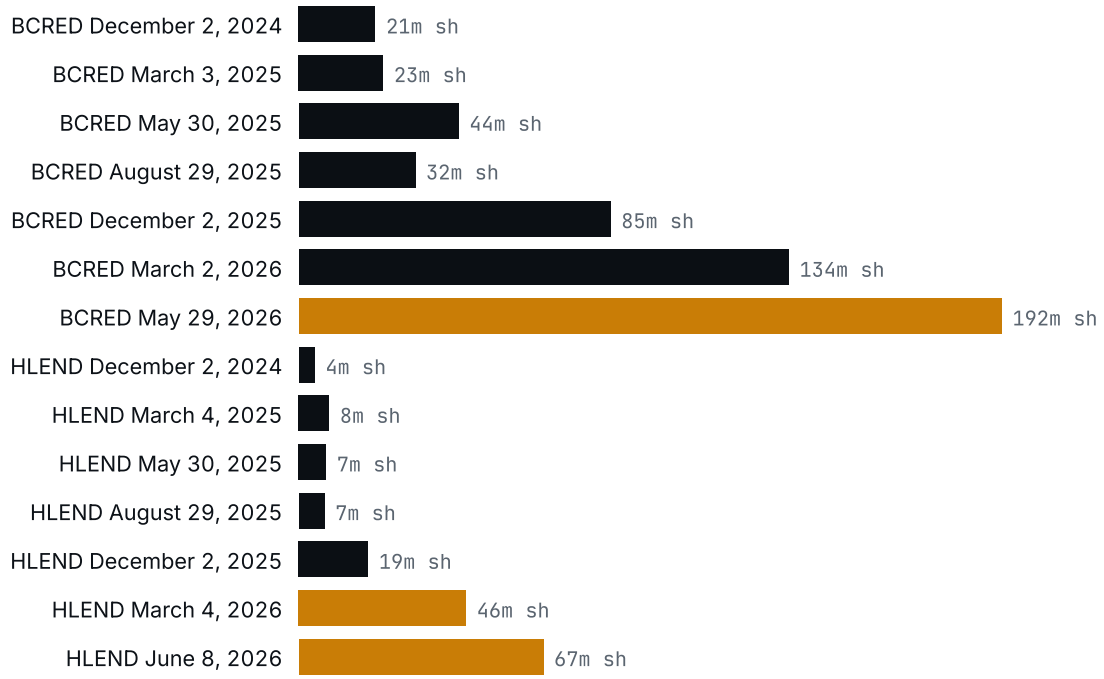
FUND	OFFER EXPIRED	REQUESTED (M SH)	ACCEPTED (M SH)	FILL	REQUESTED $M	UNMET $M	SOURCE
ADS	June 15, 2026	101.5	30.2	29.8 %	2,420	1,700	https://www.sec.gov/Archives/edgar/data/1837532/000119312526337966/d58545dsctoia.htm
HLEND	June 8, 2026	66.7	25.1	37.6 %	1,629	1,017	https://www.sec.gov/Archives/edgar/data/1838126/000162828026052073/hlend-sctoxi_aq22026.htm
ASIF	September 18, 2026	50.4	19.3	38.2 %	1,348	833	https://www.sec.gov/Archives/edgar/data/1918712/000110465926110962/tm2625856-2_sctoia.htm
GCRED	July 29, 2026	9.0	9.0	100.0%	219	0	https://www.sec.gov/Archives/edgar/data/1930087/000193008726000101/gcred-q32026sctoxia.htm

Full tender history (final amendments, 2025–2026)

FUND	FILED	OFFER EXPIRED	REQUESTED (M SH)	ACCEPTED (M SH)	FILL	PRORATED
ADS	2025-02-10	December 16, 2024	2.5	2.5	100.0%	no
ADS	2025-05-08	March 17, 2025	5.3	5.3	100.0%	no
ADS	2025-08-15	June 16, 2025	8.4	8.4	100.0%	no
ADS	2025-11-07	September 15, 2025	16.3	16.3	100.0%	no
ADS	2026-02-13	December 15, 2025	28.2	28.2	100.0%	no
ADS	2026-05-06	March 16, 2026	66.9	30.3	45.2%	yes
ADS	2026-08-06	June 15, 2026	101.5	30.2	29.8%	yes
ASIF	2025-03-26	March 20, 2025	1.1	1.1	100.0%	no
ASIF	2025-06-26	June 20, 2025	5.3	5.3	100.0%	no
ASIF	2025-09-26	September 19, 2025	2.9	2.9	100.0%	no
ASIF	2025-12-29	December 19, 2025	21.6	21.6	100.0%	no
ASIF	2026-04-17	March 20, 2026	45.3	19.5	43.1%	yes
ASIF	2026-07-28	June 18, 2026	56.9	19.8	34.7%	yes
ASIF	2026-09-25	September 18, 2026	50.4	19.3	38.2%	yes
BCRED	2025-02-03	December 2, 2024	20.9	20.9	100.0%	no
BCRED	2025-05-02	March 3, 2025	23.0	23.0	100.0%	no
BCRED	2025-08-04	May 30, 2025	43.6	43.6	100.0%	no
BCRED	2025-11-03	August 29, 2025	31.8	31.8	100.0%	no
BCRED	2026-02-02	December 2, 2025	85.0	85.0	100.0%	no
BCRED	2026-05-01	March 2, 2026	133.7	133.7	100.0%	no
BCRED	2026-08-04	May 29, 2026	191.8	93.1	48.5%	yes
GCRED	2025-02-10	February 3, 2025	0.2	0.2	100.0%	no
GCRED	2025-06-25	May 1, 2025	0.8	0.8	100.0%	no
GCRED	2025-08-12	August 1, 2025	1.5	1.5	100.0%	no
GCRED	2025-11-14	November 3, 2025	2.0	2.0	100.0%	no
GCRED	2026-02-11	February 2, 2026	2.5	2.5	100.0%	no
GCRED	2026-05-14	May 1, 2026	15.1	8.9	58.7%	yes
GCRED	2026-08-11	July 29, 2026	9.0	9.0	100.0%	no
HLEND	2025-02-03	December 2, 2024	4.3	0.0	–%	no

FUND	FILED	OFFER EXPIRED	REQUESTED (M SH)	ACCEPTED (M SH)	FILL	PRORATED
HLEND	2025-05-01	March 4, 2025	8.3	0.0	–%	no
HLEND	2025-08-01	May 30, 2025	7.4	0.0	–%	no
HLEND	2025-11-03	August 29, 2025	7.0	0.0	–%	no
HLEND	2026-02-03	December 2, 2025	18.9	0.0	–%	no
HLEND	2026-05-01	March 4, 2026	45.6	24.6	54.0%	yes
HLEND	2026-08-04	June 8, 2026	66.7	25.1	37.6%	yes
OCIC	2026-07-24	June 30, 2026	395.4	105.2	26.6%	yes

EXHIBIT 1 · TENDER REQUESTS, MILLIONS OF SHARES, BY FUND AND OFFER



Amber = prorated (requests above the cap). Source: SC TO-I/A final amendments on EDGAR (bdc_tenders.py).

What the numbers say. - **BCRED:** requests went from 20.9m shares (Dec 2024 offer) to 191.8m (May 2026), and the fund prorated to 5% for the first time. - **OCIC:** requests peaked at $4.2bn, 21.9% of shares, in Q1 [SR14], and eased to $3.1bn, 16.8%, in Q3 [SR13]. - **Industry:** Fitch puts the Q3 average at 9.8% of shares, against a 5% cap [SR17]. - **Easing, not ending (judgement).** The queue is easing slowly. Funds meet the cap from repayments and new subscriptions; selling loans is the release valve.

Transmission (judgement). A fund that lifts its cap or sells loans to clear the queue reveals clearing prices. Every BDC that marks the same borrower then faces the same price; Exhibit 2 shows which BDCs share stressed names.

STRESSED BORROWER (WTD MARK <90)	BDCS HOLDING	PAR $M	WTD MARK	RANGE	BDCS
peraton	3	442.2	68.0	67.0–68.8	FSK,OBDC,OTF
petvet care centers	5	389.3	84.5	-13.9–88.0	ARCC,OBDC,GBDC,NMFC,OTF
pluralsight	3	133.9	45.8	8.0–95.0	OBDC,GBDC,OTF
barracuda	3	131.6	49.2	32.9–75.5	OBDC,PSEC,OTF
vermont aus pty	3	33.2	86.2	69.1–100.0	OBDC,GBDC,OTF

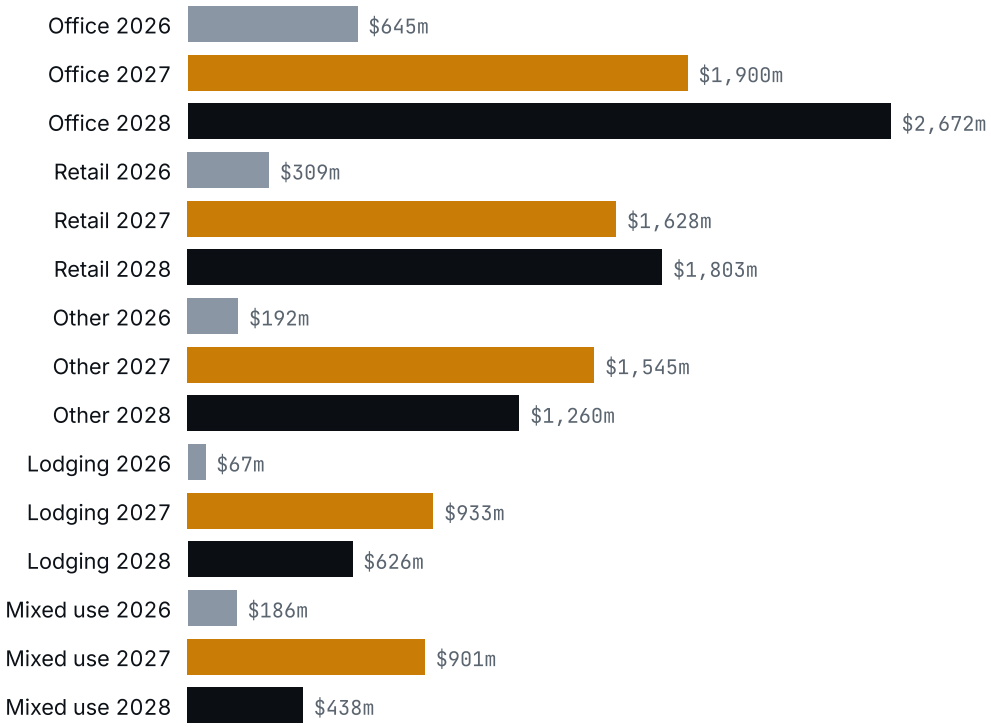
EXHIBIT 2 · BDC PAIRS SHARING 3+ BORROWERS MARKED BELOW 80 (30 JUN 2026)

BDC A	BDC B	SHARED STRESSED BORROWERS	AVG PAR $M
OBDC	OTF	9	439

05 Thesis 2: the CRE maturity wall into office

- **CMBS delinquency** is 8.02% (Sep 2026), the highest since November 2020 [SR01]. Office is 12.16% [SR02].
- **Prices:** Green Street office values are 33% below the 2022 peak (index 76.3) [SR03]. The all-property index fell 0.1% in September [SR04].
- **Maturities:** MBA puts 2026 maturities at $875bn and 2027 at $652bn [SR05], including $200bn held in CMBS/CLO/ABS and $163bn by credit companies and warehouses in 2026 [SR06].

EXHIBIT 3 · MATURITY WALL IN OUR ABS-EE SAMPLE (101 TRUSTS, 6,580 LOANS, $82.3BN), $M BY PROPERTY TYPE



Source: EDGAR ABS-EE loan tapes, cmbs_loans table. This is a sample, not the full CMBS universe; see gaps.

City office distress clusters (sample loans in special servicing or delinquent):

CITY	STATE	LOANS	BALANCE $M
New York	NY	17	791.6
Brooklyn	NY	5	169.9
Washington	DC	3	151.0
San Francisco	CA	4	133.6
Redmond	WA	1	104.2
Chicago	IL	2	89.6
Jersey City	NJ	1	70.0
Wilmington	DE	2	58.3
Birmingham	AL	1	57.5
San Antonio	TX	3	56.0
Beverly Hills	CA	1	55.0
Renton	WA	1	53.5

Control lens. The directing holders already parsed from 10-Ds include Rialto (RREF), LNR, KKR Real Estate Credit, Eightfold and 400 Capital (see the control report). They control workouts as balloons fail, which puts them first in line for discounted

collateral (judgement).

06 Thesis 3: bank-to-CRE contagion

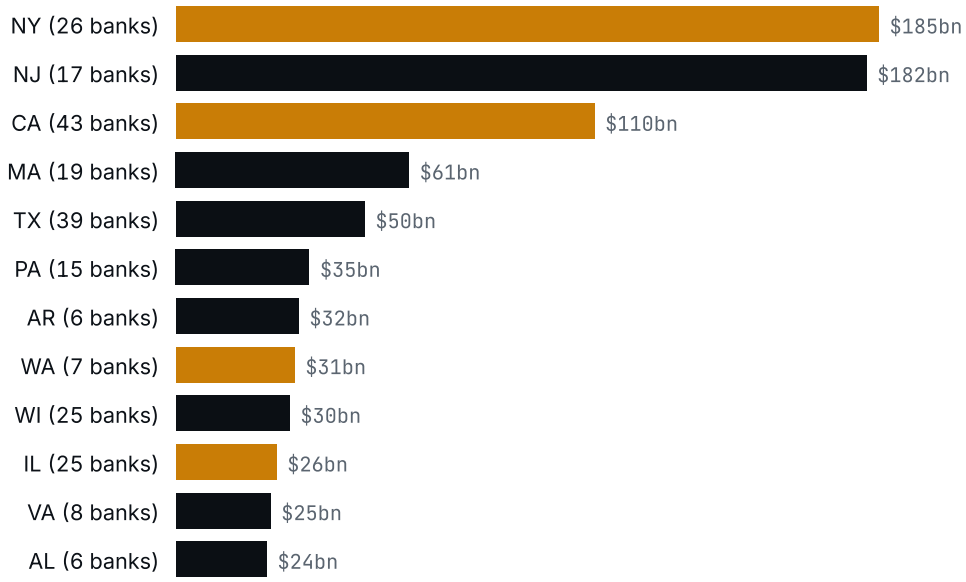
The screen covers the call reports of all **4,296** insured banks (30 Jun 2026). - **CRE concentration** = (construction + multifamily + non-owner-occupied nonfarm nonresidential) ÷ total risk-based capital (equity for community-bank-leverage-ratio filers). This approximates the 2006 interagency guidance test. - **Above 300%:** 449 banks with $1,067bn of assets, down from 493 a year earlier. - **Construction above 100% of capital:** 323 banks. - **Unrealised securities losses, all banks:** AFS $-110bn plus HTM $-217bn, against tier-1 capital of $2,332bn. - **Brokered deposits:** $1,228bn of $20,876bn total deposits.

FRED (latest). - CRE delinquency rate, all banks: 1.53% (2026-04-01). - CRE charge-off rate: 0.14%. - SLOOS net % tightening: NFNR -11.3, construction -3.7, multifamily -5.7 (2026-07-01). - HY OAS: 3.27 (2026-10-21).

LARGEST BANKS ABOVE 300% CRE/CAPITAL	CITY	STATE	ASSETS $BN	CRE/CAPITAL	CONSTRUCTION/CAPITAL	NONCURRENT LOANS	UNREALISED LOSS/T1	BROKERED/DEPOSITS
FLAGSTAR BANK NATIONAL ASSN	Hicksville	NY	87.7	328%	14%	5.04%	-9%	10%
VALLEY NATIONAL BANK	Passaic	NJ	66.2	320%	35%	0.92%	-8%	10%
WAFD BANK	Seattle	WA	27.6	332%	49%	0.64%	-3%	7%
PROVIDENT BANK	Jersey City	NJ	25.7	422%	26%	0.56%	-5%	6%
SIMMONS BANK	Pine Bluff	AR	24.7	345%	106%	0.93%	-20%	9%
OCEANFIRST BANK NA	Toms River	NJ	23.2	384%	33%	0.67%	-3%	7%
BEACON BANK&TRUST	Brookline	MA	22.2	336%	16%	0.91%	-2%	1%
MECHANICS BANK	Walnut Creek	CA	21.2	340%	17%	0.42%	-10%	0%
APPLE BANK	New York	NY	19.9	436%	0%	0.44%	-13%	8%
SERVISFIRST BANK	Birmingham	AL	18.3	307%	72%	1.19%	-3%	0%
DIME COMMERCIAL BANK	Hauppauge	NY	15.0	355%	5%	0.65%	-6%	2%
POPULAR BANK	New York	NY	15.0	311%	74%	0.39%	-3%	7%
CONNECTONE BANK	Englewood Cliffs	NJ	14.4	439%	53%	0.69%	-4%	9%
COLUMBIA BANK	Fair Lawn	NJ	12.2	350%	43%	0.52%	-11%	0%

LARGEST BANKS ABOVE 300% CRE/CAPITAL	CITY	STATE	ASSETS $BN	CRE/CAPITAL	CONSTRUCTION/CAPITAL	NONCURRENT LOANS	UNREALISED LOSS/T1	BROKERED/DEPOSITS
BURKE&HERBERT BANK&TRUST CO	Alexandria	VA	11.0	335%	35%	1.21%	-6%	1%
S&T BANK	Indiana	PA	9.9	309%	43%	0.50%	-4%	0%
TRI COUNTIES BANK	Chico	CA	9.9	315%	23%	0.96%	-14%	0%
METROPOLITAN COMMERCIAL BANK	New York	NY	8.9	304%	45%	0.92%	-11%	26%
TOMPKINS COMMUNITY BANK	Ithaca	NY	8.8	323%	58%	0.80%	-7%	2%
POPPY BANK	Santa Rosa	CA	8.3	360%	61%	1.91%	-8%	4%

EXHIBIT 4 · ASSETS OF BANKS ABOVE 300% CRE/CAPITAL, BY STATE ($BN)



Amber = state also hosts a top-6 CMBS office distress cluster in our sample (geographic overlap, not proof of loan-level exposure). Source: FDIC BankFind financials API.

Judgement. This is a slow-burn thesis. The count of high-CRE banks is falling. Losses arrive through office maturities and deposit costs, not through a run, unless brokered funding and unrealised losses coincide at the same bank.

Stress subset: banks above 300% CRE/capital that also have unrealised losses worse than −25% of tier 1, or noncurrent loans above 2%:

BANK	CITY	STATE	ASSETS $BN	CRE/CAPITAL	NONCURRENT	UNREALISED LOSS/T1	BROKERED/DEPOSITS
FLAGSTAR BANK NATIONAL ASSN	Hicksville	NY	87.7	328%	5.04%	-9%	10%
INWOOD NATIONAL BANK	Dallas	TX	4.3	325%	0.37%	-38%	0%
SECURITY BANK OF KANSAS CITY	Kansas City	KS	3.9	346%	0.03%	-33%	0%

BANK	CITY	STATE	ASSETS $BN	CRE/CAPITAL	NONCURRENT	UNREALISED LOSS/T1	BROKERED/DEPOSITS
CAPITAL BANK NATIONAL ASSN	Rockville	MD	3.8	304%	2.09%	-2%	7%
BCB COMMUNITY BANK	Bayonne	NJ	3.1	454%	2.90%	-1%	2%
CB&S BANK INC	Russellville	AL	3.1	359%	1.16%	-73%	1%
FIRST FIDELITY BANK	Oklahoma City	OK	3.0	379%	0.47%	-32%	1%
MERIDIAN BANK	Wayne	PA	2.6	309%	3.71%	-3%	22%
STATE BANK OF TEXAS	Irving	TX	2.6	487%	2.18%	-1%	9%
GOLDEN BANK NATIONAL ASSN	Houston	TX	2.3	327%	2.19%	-1%	4%
REGENT BANK	Tulsa	OK	2.2	300%	2.54%	-3%	23%
MAINSTREET BANK	Fairfax	VA	2.2	379%	3.18%	-3%	34%
FIRST BANK CHICAGO	Highland Park	IL	2.2	313%	1.10%	-37%	23%
BENEFICIAL STATE BANK	Oakland	CA	2.0	352%	2.58%	-28%	20%
MONTECITO BANK&TRUST	Santa Barbara	CA	2.0	302%	0.17%	-34%	0%

By state (banks above 300%):

STATE	BANKS SCREENED	ABOVE 300%	ASSETS ABOVE 300% $BN	CRE ABOVE 300% $BN
NY	114	26	184.9	72.4
NJ	50	17	181.6	72.4
CA	118	43	110.1	47.5
MA	94	19	61.3	23.7
TX	352	39	49.7	20.3
PA	113	15	35.1	12.5
AR	78	6	32.3	11.1
WA	29	7	31.2	10.4
WI	155	25	29.9	12.1
IL	327	25	26.5	11.2
VA	57	8	24.9	10.7
AL	93	6	23.9	8.0
FL	85	16	22.2	10.0
IA	227	13	20.8	8.4
OK	171	16	20.4	7.9
MO	195	18	19.9	8.8
TN	109	13	17.5	6.3
ME	22	4	15.1	6.9
KS	185	11	12.7	4.6
MN	225	14	12.2	5.3

07 Thesis 4: insurers

- **Private credit:** US insurers hold an estimated $1.2tn, ~13% of cash and invested assets [SR07].
- **Schedule BA** grew 10.3% to $637.9bn at YE2025 [SR08].
- **Transmission (judgement):** insurers hold about $32bn of private BDC and credit-fund interests (NAIC), and are lenders and buyers in CRE. A BDC queue or CRE loss lands on them second.
- **No acute stress:** AM Best recorded no rated-insurer impairments in 2025 (headline; study is paywalled).

08 Thesis 5: fund-overlap cascades

Our N-PORT 2026Q3 pull covers **13,937** fund series and 5,627,083 holding rows; $73bn of CMBS-like ABS sits in 1,083 funds and $300bn of loans in 1,092 funds. Watch-list issuers (values are % of NAV × NAV):

ISSUER FAMILY	FUNDS HOLDING	VALUE $M	MAX % OF A FUND'S NAV
Echostar	999	9,411.3	4.64%
Dish Dbs	293	3,385.6	4.96%
Dish Network	227	1,263.9	4.34%
Hughes Satellite	46	615.5	2.35%
Xplore	43	359.5	9.82%
Multi-Color	54	166.3	1.42%
Branicks	26	7.4	0.09%
Baywa	16	2.0	0.73%

EchoStar rows include equity and convertibles held by index funds. Hughes and DISH DBS rows are debt only.

09 Cross-border and rest of world

- **Europe.** The NPL ratio on commercial-property-backed corporate loans at ECB significant institutions is 4.36% [SR09], about twice the 2.17% system ratio. The EBA transparency exercise was **discontinued from June 2025**; its 2025 data cover 119 banks to 30 Jun 2025 and are available only through interactive tools, so no bulk bank-level pull was made. The German real-estate names from the control report (Branicks, BayWa) are the live cases.
- **UK.** 1,882 company insolvencies in Sep 2026, down 5% year on year [SR10]. Not a dislocation signal.
- **Japan.** TSR counts 5,373 bankruptcies in FY2026 H1 [SR11]. Japanese bank exposure to US CRE is disclosed only in aggregate. Fitch says it is below 2% of lending for rated APAC banks (secondary); no bank-level public breakdown was found.
- **China.** About 0.6% of ~$150bn of defaulted developer offshore debt has been recovered in cash (secondary source) [SR16]. The dislocation has already been realised; the open question is the recovery-trading opportunity, not contagion.
- **Defaults.** The Moody's spec-grade default rate was 4.5% globally and 5.3% in the US in August 2026 [SR12]. Form PF private-fund gross assets were $29.6tn in 2025Q4 [SR15], with no private-credit breakout in public statistics.

10 Verification ledger

ID	CLAIM	STATUS	SOURCE
SR 01	Trepp CMBS delinquency rate 8.02% in Sep 2026, highest since Nov 2020	VERIFIED	https://www.trepp.com/hubfs/Trepp%20CMBS%20Delinquency%20Report%20September%202026.pdf
SR 02	Trepp office CMBS delinquency 12.16% (Sep 2026)	VERIFIED	https://www.trepp.com/hubfs/Trepp%20CMBS%20Delinquency%20Report%20September%202026.pdf

ID	CLAIM	STATUS	SOURCE
SR 03	Green Street CPPI: office index 76.3, −33% from 2022 peak (4 Sep 2026)	VERIFIED	https://info.greenstreet.com/hubfs/GSCPPI-20260904press.pdf
SR 04	Green Street CPPI −0.1% in Sep 2026, +4.7% over 12 months	VERIFIED	https://www.greenstreet.com/waiting-for-price-clarity/
SR 05	MBA: $875bn of commercial mortgages mature in 2026 and $652bn in 2027	VERIFIED	https://www.mba.org/news-and-research/newsroom/news/2026/02/09/17-percent-of-commercial-and-multifamily-mortgage-balances-to-mature-in-2026
SR 06	MBA: $200bn (25%) of CMBS/CLO/ABS-held and $163bn (29%) of credit-company/warehouse-held mortgages mature in 2026	VERIFIED	https://www.mba.org/news-and-research/newsroom/news/2026/02/09/17-percent-of-commercial-and-multifamily-mortgage-balances-to-mature-in-2026
SR 07	NAIC: US insurers' private-credit exposure ~$1.2tn at YE2025, ~13% of cash and invested assets	VERIFIED	https://content.naic.org/sites/default/files/capital-markets-special-reports-private-credit-analysis.pdf
SR 08	NAIC: Schedule BA assets $637.9bn at YE2025, +10.3%	VERIFIED	https://content.naic.org/sites/default/files/capital-market-schedule-ba-ye2025.pdf
SR 09	ECB: NPL ratio on loans collateralised by commercial immovable property 4.36% (Q2 2026)	VERIFIED	https://www.bankingsupervision.europa.eu/press/pr/date/2026/html/ssm.pr260915~7917ca1416.en.html
SR 10	UK: 1,882 company insolvencies in Sep 2026 (England and Wales)	VERIFIED	https://www.gov.uk/government/statistics/company-insolvencies-september-2026/commentary-company-insolvency-statistics-september-2026
SR 11	Japan (TSR): 5,373 corporate bankruptcies in FY2026 H1 (Apr–Sep)	VERIFIED	https://www.tsr-net.co.jp/news/status/detail/1203308_1610.html
SR 12	Moody's (via First Trust): global spec-grade default rate 4.5%, US 5.3% (Aug 2026)	VERIFIED	https://www.ftportfolios.com/blogs/InvestBlog/2026/9/17/factoid---thursday,-september-17,-2026
SR 13	OCIC Q3 2026: $3.1bn repurchase requests = 16.8% of shares; 5% cap filled pro rata (~30%)	VERIFIED	https://www.sec.gov/Archives/edgar/data/1812554/000119312526411315/d136475dex991.htm
SR 14	OCIC: Q1 2026 requests peaked at $4.2bn (21.9%)	VERIFIED	https://www.sec.gov/Archives/edgar/data/1812554/000119312526411315/d136475dex991.htm
SR 15	Form PF: $29.6tn private-fund gross assets in 2025Q4 (+18.5% y/y)	VERIFIED	https://www.sec.gov/data-research/statistics-data-visualizations/private-fund-statistics
SR 16	China developers: only 0.6% of offshore debt recovered (secondary source)	VERIFIED Secondary source; primary not public	https://tradeinzone.in/only-0-6-of-offshore-debt-recovered-from-chinas-property-developers/
SR 17	Fitch: non-traded BDC redemption requests 9.8% of shares in Q3 2026 (secondary report of Fitch)	VERIFIED Secondary source; primary not public	https://www.intervalfunddaily.com/story/fitch-nontraded-bdc-redemption-requests-ease-to-9-8-still-near-twice-the-5-cap

11 Gaps (stated, not papered over)

- **Full CMBS ABS-EE universe and CRE CLO trustee reports.** Not pulled. The maturity wall uses our 101-trust sample (6,580 loans); CRE CLO trustee reports are not public on EDGAR.
- **Interval and tender-offer funds other than the seven BDCs.** Not pulled; N-CEN and N-23C3 filings would be the source. The BDC table covers BCRED, OCIC, ADS, HLEND, ASIF, GCRED and (partly) NHPIF only.
- **NAIC Schedule BA and AM Best.** Headline aggregates only; the bank-like bulk data are subscription products.
- **Moody's and S&P default studies** are paywalled; the Moody's rate is via a public relay.
- **ESMA fund stress data, ECB bank-level data and EBA** (discontinued) were not ingested in bulk.
- **FRED series not available:** the H.8 foreign-related CRE series (CREFCBW027SBOG) returned 404, so foreign-bank US CRE remains a gap.
- **Fund flows.** ICI weekly flows came back with a figure we could not verify (a $472bn combined outflow in one week is implausible); excluded.
- **RCA and MSCI pricing** are not public; Green Street headline used.

- **China.** Developer recovery figures are from a secondary source.
- **N-PORT values** are % of NAV × NAV (robust to unit errors). Fund-of-funds double-count in gross totals.
- **Bank-to-CMBS link** is geographic overlap, not loan-level; call reports do not identify borrowers.

DISCLAIMER AND PUBLISHER'S EXCLUSION

Published by TRIAGE for general information. Impersonal; not investment advice, a recommendation, or an offer or solicitation to buy or sell any security. Not tailored to any reader; intended to fall within the publisher's exclusion of section 202(a)(11)(D) of the US Investment Advisers Act of 1940. Facts are drawn from public filings and registries linked in the text; statements by parties are allegations; scenario figures are labelled assumptions. Companies only; no personal data.